BAP No. 00-0000

UNITED STATES BANKRUPTCY APPELLATE PANEL
FOR THE FIRST CIRCUIT

Example Creditor, Inc.
Appellant,

v.

Sample Debtor, *et al.*
Appellees.

On Appeal from the United States Bankruptcy Court for the District of Example
Bankruptcy Case No. 00-00000

BRIEF FOR APPELLEE

RICHARD B. SAMPLE
Sample & Co.
2 Test Avenue
Providence, RI 02900

Telephone: (000) 000-0001

TABLE OF CONTENTS

Argument 5

I. The Security Interest Was Not Perfected for the Full Claim 5

II. The Valuation Did Not Depend on the Excluded Exhibit 5

III. The Proceeds Argument Was Not Properly Preserved 5

Conclusion 5

TABLE OF AUTHORITIES

Cases

Alpha Corp. v. Beta LLC, 200 B.R. 20 (Bankr. D. Mass. 1999) 5
Gamma Trust v. Delta Estate, 300 F.3d 30 (1st Cir. 2002) 5

Statutes

11 U.S.C. § 506(a) 5

STATEMENT REGARDING ORAL ARGUMENT

Appellees do not object to oral argument and request that it be limited to the valuation issue.

ARGUMENT

The Security Interest Was Not Perfected for the Full Claim

The bankruptcy court correctly held that the financing statement did not perfect Appellant's interest in equipment that the Debtor had moved to a different county after filing. The statute requires a filing that identifies the collateral and the place where it is kept. See *Gamma Trust v. Delta Estate*, 300 F.3d 30, 36 (1st Cir. 2002). The record shows that the filing listed only the original location.

Appellant's reading would require the Panel to treat an unperfected interest as perfected. The Panel should not adopt that reading. *Alpha Corp. v. Beta LLC*, 200 B.R. 20, 27 (Bankr. D. Mass. 1999).

The Valuation Did Not Depend on the Excluded Exhibit

The court's valuation rests on the testimony of both witnesses, not only on the late exhibit. The court found that the equipment's condition was the principal driver of value, and that finding is supported by the record. App. at 22-23. Appellant's contention that the court relied on the exhibit is not borne out by the order.

Any error in excluding the exhibit was harmless. Appellant made an offer of proof and does not explain how the exhibit would have changed the result. Under 11 U.S.C. § 506(a), the value of the collateral is a question of fact on which the court's finding is entitled to deference.

The Proceeds Argument Was Not Properly Preserved

Appellant's pre-trial memorandum raised proceeds in a single sentence and did not ask the court to rule on it. A party that does not press an argument below cannot complain that the court did not decide it. App. at 31.

CONCLUSION

The order of the bankruptcy court should be affirmed.

Respectfully submitted,
February 1, 2030

s/ RICHARD B. SAMPLE
Counsel for Appellees
2 Test Avenue
Providence, RI 02900
(000) 000-0001
rick@example.invalid

STATEMENT REGARDING RELATED CASES

1st Cir. BAP L.R. 8014-1(a)(2)

☐ The undersigned certifies that the following are known related cases and appeals:

☒ The undersigned certifies that the undersigned knows of no related cases or appeals as that term is defined in 1st Cir. BAP L.R. 8014-1(a)(2)(A).

CERTIFICATE OF COMPLIANCE

This brief complies with the type-volume limitation of Fed. R. Bankr. P. 8015(a)(7)(A) because it contains 277 words, excluding the parts of the brief exempted under Fed. R. Bankr. P. 8015(g).

This brief complies with the typeface and type-style requirements of Fed. R. Bankr. P. 8015(a)(5) and (6) because it has been prepared in a proportionally spaced typeface, EB Garamond 14-point, using the vendored font.

s/ RICHARD B. SAMPLE
Counsel for Appellees
Dated: February 1, 2030